Underreaction Phase

Adjustment and Anchoring

- This occurs when we consider a value for a quantity before estimating that quantity. Consider the following two questions posed by Kahneman: Was Gandhi more or less than 144 years old when he died? How old was Gandhi when he died? Your guess was affected by the suggestion of his advanced age, which led you to anchor on it and then insufficiently adjust from that starting point, similar to how people underreact to news about a security. (Gandhi died at 79.)

The Disposition Effect

- This is the tendency of investors to sell their winners too early and hold on to losers too long. Selling early creates selling pressure on winner stocks in the underreaction phase, and reduces selling pressure on losing stocks in the underreaction phase, thus delaying the price discovery process in both cases.

Overreaction Phase

Feedback Trading and the Herd Effect

- Traders follow positive feedback strategies. For instance, George Soros has described his concept of reflexivity, which can involve buying in anticipation of further buying by uninformed investors in a self-reinforcing process. Additionally, herding can be a defense mechanism occurring when an animal reduces its risk of being eaten by a predator by staying with the crowd. As Charles MacKay put it in 1841 in his book *Extraordinary Popular Delusions and Madness of Crowds,* “Men, it has been well said, think in herds; it will be seen that they go mad in herds, while they only recover their senses slowly, and one by one.”[20]

Confirmation Bias and Representativeness

- In general, we suffer from a bias to confirm our beliefs and tend to search for information that supports those beliefs. Such a biased view might cause investors to move more money into investments, supporting a trend, when a dispassionate appraisal might suggests price already exceeds fundamental value. Similarly, investors see recent price momentum and assume via